UNIVERSITY of VIRGINIA | DARDEN Business Publishing

UV9621
Rev. Jul. 10, 2026

Boris's Brexit Dilemma (A)

It was an exciting time for British prime minister Boris Johnson, who had orchestrated an agreement with the European Union (EU) in late 2019 to finish the unraveling of British membership and fulfill "Brexit" (a portmanteau of "British" and "exit"[1]), for which the country had voted narrowly in 2016. He was almost done negotiating the new future relationship deal, but if it didn't gain EU and Parliament approval, he was running out of time and money to prepare for a "hard Brexit"—meaning an exit in which the United Kingdom (UK) would not establish a new trade agreement with the EU. This would be harmful to both sides (although much more so for the UK). The more prepared the UK was, the less harmful a hard Brexit would be. Conversely, if the negotiations with the EU succeeded, it would result in a "soft Brexit," with a new trade agreement between the two groups. At present, it was unclear what kind of deal the EU would be willing to offer and whether the British Parliament would be willing to approve it.

Johnson needed to determine what his best strategy would be as he prepared to negotiate with the EU. Specifically, he was considering whether to invest in preparations for a hard Brexit and how to handle the EU trade agreement proposal.

Background

The process of the UK leaving the EU, informally known as Brexit, began in 2016, when 52% of UK voters opted to leave.[2] These voters no longer wanted to be part of the EU for a variety of reasons, including economic (reluctance to pay into the Eurozone and disdain for regulations coming from Brussels), cultural (a desire to remain distinct and separate from Europe), and political (maintaining English sovereignty and restricting immigration).[3] The UK was the second-largest economy in the EU in 2018, with just over 15% of the bloc's GDP.[4] Removing it from the free-trade agreement and context would mean unwinding and renegotiating numerous regulations and setting up new terms for trade and economic activity. This would be a long, arduous process. It would take more than four years before Johnson would officially lead the UK out of the EU on January 31, 2020. Until then, the UK and the EU remained locked in negotiations to determine the future of their relationship.[5]

[1] *Merriam-Webster*, s.v. "portmanteau" (n.), https://www.merriam-webster.com/dictionary/portmanteau (accessed Oct. 17, 2022).
[2] "EU Referendum Results," BBC, https://www.bbc.com/news/politics/eu_referendum/results (accessed Oct. 14, 2022).
[3] Timothy B. Lee, "Brexit: The 7 Most Important Arguments for Britain to Leave the EU," Vox, June 25, 2016, https://www.vox.com/2016/6/22/11992106/brexit-arguments (accessed Oct. 14, 2022).
[4] "Brexit: Status and Outlook," Congressional Research Service, February 13, 2020, https://crsreports.congress.gov/product/pdf/R/R45944 (accessed Oct. 14, 2022).
[5] "Brexit: What You Need to Know About the UK Leaving the EU," BBC News, December 30, 2020, https://www.bbc.com/news/uk-politics-32810887 (accessed Oct. 14, 2022).

This public-sourced case was prepared by Alexander Gregorio (MBA/JD '21) under the guidance of Saša Zorc, Assistant Professor of Business Administration. It was written as a basis for class discussion rather than to illustrate effective or ineffective handling of an administrative situation. All thoughts pertaining to Boris Johnson were created for pedagogical reasons. Copyright © 2023 by the University of Virginia Darden School Foundation, Charlottesville, VA. All rights reserved. *To order copies, send an email to* sales@dardenbusinesspublishing.com. *No part of this publication may be reproduced, stored in a retrieval system, used in a spreadsheet, or transmitted in any form or by any means—electronic, mechanical, photocopying, recording, or otherwise—without the permission of the Darden School Foundation. This publication is protected by copyright and may not be uploaded in whole or part to any AI, large language model, or similar system, or to any related training database.* Our goal is to publish materials of the highest quality, so please submit any errata to editorial@dardenbusinesspublishing.com.

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The process also proved to be costly and complex politically. David Cameron, the prime minister who had overseen the vote and campaigned against leaving, resigned shortly after the UK voted to leave.[6] Theresa May, his successor, began negotiating with the EU, which wanted to maintain the integrity of the rest of the bloc by ensuring that the UK would compete fairly and on an equal playing field with the EU member states.[7] As a result, the negotiations bogged down as the EU took a hard position on issues such as the Irish border, regulations, and trade.[8] May stepped down as leader in 2019 after being unable to present a deal acceptable to both the EU and Parliament.[9] Johnson, May's successor, was the third prime minister to try to tackle the Brexit dilemma. The UK would leave the EU in January 2020, but it had agreed to a transition period during which it remained in the EU's economic institutions until December 2020, while the negotiations over the future relationship continued.[10]

Hard and Soft Brexit

The UK had a transition agreement in place until December 31, 2020, and these preexisting arrangements would remain in force while new terms were negotiated.[11] If, by January 1, 2021, the UK and the EU had not established a new deal, the UK would pay roughly £35 billion associated with tariffs and other logistic challenges due to the lack of a deal. It would also cost the EU £18 billion (due to the additional costs for trade and other new administrative hurdles it would have to handle without an agreement).

Johnson could take precautionary measures to soften the immediate impact of a hard Brexit. He could invest £5 billion in preparing the UK economy and population for adjustments to life out of the EU. It was estimated that every pound spent to prepare would yield £2.5 in mitigation for the costs (so investing £5 billion would yield £12.5 billion of mitigation). These efforts also included drawing up plans to stockpile key medical supplies and food.[12] In order to be effective, he had to invest all the £5 billion or none at all. The money spent on these preparations would not be recoverable in the event of a soft Brexit.

Soft Brexit simply meant leaving the EU with some type of deal in place, but not all deals were created equal. The EU wanted to minimize its costs and ensure the UK would hew as close to its existing agreement and regulatory lines as possible. EU leadership would seek not only to reduce costs to the EU but also to send a message to other member states that it would maintain the stability of the organization by making it costly to leave *and* costly to get access to the EU's markets from outside of it. If the UK were to get too sweet a deal from the EU, it might incentivize other member nations to exit, creating more problems. Johnson wanted a deal that would give the UK access to the European market with as low a barrier as possible and without having to accept the pesky regulations or other agreements member states had to follow. Broadly, there were three categories of deals: those favorable to the UK, those neutral to the UK, and those unfavorable to the UK.[13]

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[6] Heather Stewart, Rowena Mason, and Rajeev Syal, "David Cameron Resigns after UK Votes to Leave European Union," *Guardian*, June 24, 2016, https://www.theguardian.com/politics/2016/jun/24/david-cameron-resigns-after-uk-votes-to-leave-european-union (accessed Oct. 14, 2022).

[7] Chris Morris, "Brexit Trade Deal: What Do the UK and EU Want?," BBC, February 27, 2020, https://www.bbc.com/news/51357589 (accessed Oct. 14, 2022).

[8] Tom Edgington, "Backstop: Why Is the Irish Border Blocking Brexit?," BBC, September 9, 2019, https://www.bbc.com/news/uk-politics-48826360 (accessed Oct. 14, 2022).; https://www.bbc.com/news/51357589.

[9] "Theresa May Officially Steps Down as Tory Leader," BBC, June 7, 2019, https://www.bbc.com/news/uk-politics-48550452 (accessed Oct. 14, 2022).

[10] Tom Edgington, "Brexit: What Is the Transition Period?," BBC, July 1, 2020, https://www.bbc.com/news/uk-politics-50838994 (accessed Oct. 14, 2022).

[11] Alasdair Sandford, "Post-Brexit Guide: Where Are We Now—And How Did We Get Here?," Euronews, February, 14, 2022, https://www.euronews.com/2020/06/11/brexit-draft-deal-first-of-many-hurdles-to-a-smooth-exit (accessed Oct. 14, 2022).

[12] Matthew Weaver, "Supermarkets 'Told To Stockpile Food' as Fears Grow of No-deal Brexit," *Guardian*, December 13, 2020, https://www.theguardian.com/politics/2020/dec/13/supermarkets-told-to-stockpile-food-as-fears-grow-of-no-deal-brexit (accessed Oct. 25, 2022).

[13] A "favorable soft Brexit" would have a low "divorce bill" and would be seen as favorable to the UK by all parties, irrespective of any other terms. The divorce bill, meaning the payments the UK would owe the EU, was the sole determining factor for whether the deal was favorable, neutral, or

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The Next Steps

The main critical question facing Johnson was whether to invest in preparations for a hard Brexit. Getting a good deal for the country was his primary objective. But getting any deal meant that the investments into preparing for a hard Brexit would be completely wasted. On the other hand, investing in hard Brexit preparations would mitigate the harm of crashing out of the EU. Most frustrating was that much was still out of Johnson's control. The EU could offer unfavorable terms, or Parliament could even reject any deal cobbled together.

A key related question was about what Michel Barnier, the chief EU negotiator, would offer. Obviously, he was attempting to get the most for the EU out of any deal, and there was no love lost on either side. Johnson suspected that Barnier would do whatever he could to further the EU's interests and that he would not do the UK any favors.

Finally, Johnson, fortunately or unfortunately, had another obstacle on top of the EU: his own Parliament. His last decision was whether to present the deal to Parliament or to reject it outright. In order to take effect, any deal with the EU would have to be voted on by the full Parliament. While he had a comfortable majority, there were enough members of his own party, combined with those of opposition parties, who could vote no on any given deal. This type of internal conflict had been what doomed May—one of her Brexit votes was defeated by 230 no's, 118 of which were from her own party, which the BBC noted was "the largest defeat for a sitting government in history."[14] Members of Parliament could vote no because they wanted to remain in the EU (perhaps by forcing a second referendum[15]) or because they wanted a hard Brexit. Either way, Johnson estimated that there was an 80% chance that any given deal he presented would pass.

He also could choose to reject the EU's deal outright. If he did that, Parliament would not get a vote at all. While not quantifiable, there was a significant political risk to refusing a deal that Parliament might have agreed to. Johnson knew this was a factor that he should also consider.

Decision Point

There were many major decisions and little time to consider alternatives or get other information. The decision to prepare for a hard Brexit had to be made immediately. After these preparations took effect (if they were chosen), it would be necessary to quickly respond to the EU's nonnegotiable offer when it arrived. Johnson had to decide whether to invest in preparations and how to respond to the EU's final offer. How could Johnson ensure he would maximize the chance of getting the best possible deal with the EU?

unfavorable; see Reality Check team, "Brexit Divorce Bill: How Much Does the UK Owe the EU?," *BBC News*, July 22, 2022, https://www.bbc.com/news/51110096 (accessed Oct. 28, 2022).

[14] "Brexit: Theresa May's Deal Is Voted Down in Historic Commons Defeat," BBC, January 15, 2019, https://www.bbc.com/news/uk-politics-46885828 (accessed Oct. 14, 2022).

[15] Mark Landler and Stephen Castle, "A Brexit Deal in Hand, Boris Johnson Faces an Uphill Struggle in Parliament," *New York Times*, October 17, 2019, https://www.nytimes.com/2019/10/17/world/europe/brexit-boris-johnson-eu.html (accessed Oct. 31, 2022).

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